

The best opinion is the Unqualified opinion given by the auditor. Any other kind of opinion can imply there is something wrong with the company's practices. It is thus important to look at the auditor's opinion in order to understand the state of a company and their accounting practices. An unqualified opinion does not guarantee that the financial reports are free from any manipulation, but a lack of unqualified opinion increases chances of manipulative activities quite significantly. As a result, one may stay away from companies that do not have Unqualified Opinion.

The given example shows the Auditor's Report of the Pidilite Company.

Independent Auditor's Report

TO THE MEMBERS OF PIDILITE INDUSTRIES LIMITED

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the accompanying consolidated financial statements of Pidilite Industries Limited ("the Parent") and its subsidiaries, (the Parent and its subsidiaries together referred to as "the Group") which includes the Group's share of profit in its associates and share of loss in its joint venture, which comprise the Consolidated Balance Sheet as at 31st March 2021, and the Consolidated Statement of Profit and Loss (including Other Comprehensive Income), the Consolidated Statement of Cash Flows and the Consolidated Statement of Changes in Equity for the year then ended, and a summary of significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, and based on the consideration of reports of the other auditors on separate financial statements/ financial information of the subsidiaries and associates referred to in the Other Matters section below, the aforesaid consolidated financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended ('Ind AS'), and other accounting principles generally accepted in India, of the consolidated state of affairs of the Group as at 31st March 2021, and their consolidated profit, their consolidated total comprehensive income, their consolidated cash flows and their consolidated changes in equity for the year ended on that date.

These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.

Key Audit Matter	Principal audit procedures performed:
Acquisition accounting for Pidilite Adhesives Private Limited (Formerly known as Huntsman Advanced Materials Solutions Private Limited)	Our procedures included but were not limited to:
The Parent company completed the acquisition of Pidilite Adhesives Private Limited for ₹ 2,196.46 crores on 3 rd November 2020 as set out in Note 52B of the Consolidated Financial Statements.	- Evaluated the design and tested the operating effectiveness of internal controls implemented by the Parent Company over the purchase price allocation process. - We tested the completeness of the identified assets and liabilities acquired by comparison to the external valuer report through discussions with the Parent Company. - We assessed the Company's determinations of fair values for
Accounting for the acquisition has involved judgment in order to:	
- determine the fair value of consideration transferred; - identify and measure	

The Auditor's report says that the company discloses the required information, which provides a true and fair view according to the Indian Accounting Standards.

Thus, we can clearly say that the Auditor gives an Unqualified Opinion in this example. This means that the auditor approves the working of the company, and there is no flaw in their accounting practices.

There is no negative point mentioned in the opinion, that they could identify.